

Korea: BOK delivers a unanimous decision for a 25bp hike

We expect the BOK to deliver two more 25bp hikes each in October 2026 and January 2027 (terminal rate: 3.25%).

- The BOK raised its policy rate by 25bp to 2.75%, in a unanimous decision. The hike was widely expected (Consensus and Nomura: a 25bp hike) and was the BOK's first hike since January 2023.
- The BOK clearly indicated that it remains necessary to continue raising rates on inflation concerns and heightened financial stability risk amid strong growth. That said, BOK Governor Shin stopped short of signalling a back-to-back hike in August. He stressed that the timing and pace of further tightening would depend on incoming data, particularly Q2 GDP and July inflation.
- Overall, today's decision confirmed the BOK's hawkish direction, while the press conference suggested a more measured pace. We maintain our forecast of two further 25bp hikes, in October 2026 and January 2027, taking the terminal policy rate to 3.25%.
- Risk to our view: An August hike remains a risk if inflation and Seoul housing prices inflation accelerate further and KRW weakness worsens.
- **Rates strategy: Maintain receive Sep-5y Korea vs. Taiwan with a conviction level of 3/5.**

A unanimous 25bp hike

The BOK raised its policy rate to 2.75% from 2.50%, with all seven MPC members supporting the decision.

Three main reasons for the hike:

- First, the BOK emphasized that economic growth has strengthened, led by semiconductor exports and related investment, and it also reiterated its upbeat growth view that improving income conditions would eventually lead to a recovery in private consumption. The BOK now sees significant upside risk to its May forecast of 2.6%.
- Second, inflation is likely to remain above the 2% target for a considerable period. Although oil prices have recently declined, the BOK expects the earlier increase in energy costs to continue to sustain higher price pressures. It is also concerned about the possibility that improving income conditions could also generate additional demand-side inflation pressures. The BOK indicated that it sees upside risk to its 2026 core inflation forecast.
- Third, financial stability risks remain elevated. The KRW has been very volatile, Seoul housing price gains have accelerated and household lending has increased sharply across both housing-related and other loans.

The policy statement consequently said that the BOK will continue its hiking cycle, with the pace and size of rate hikes dependent on incoming data.

Governor Shin keeps all options open while emphasizing data-dependent monetary policy

The main question at the press conference was whether the BOK would raise rates again at its next meeting in August.

Governor Shin declined to make pre-commitment to the future path of the policy rate, saying that the policy rate path was not predetermined and that the Board would closely examine incoming data, including the advance Q2 GDP estimate (due on 23 July) and

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July CPI inflation data (due to 4 August).

This leaves all options open, but his emphasis on data dependence suggests that an August hike is not yet the BOK's base case. An August pause would give the BOK time to assess the effects of today's move and determine whether inflation pressures are broadening beyond the initial energy and exchange rate shocks, in our view.

Push back against the BOK being behind the curve

Governor Shin also rejected the suggestion that the BOK had fallen behind the curve by keeping rates unchanged in May. He argued that uncertainty surrounding the Middle East conflict and the lack of sufficient information on underlying inflation justified waiting for additional data.

Strong income growth is becoming an inflation concern

One of the most important points in Governor Shin's remarks was the growing divergence between GDP and gross domestic income.

Real GDP increased by 3.8% y-o-y in Q1, while real gross domestic income rose by 13.2%, largely reflecting the sharp improvement in the terms of trade associated with higher semiconductor export prices.

The BOK's concern is that this income windfall may increasingly spill over into domestic demand, wages and services inflation. Governor Shin warned that the demand-side consequences of stronger income growth should not be overlooked.

This suggests that the BOK is looking beyond the direct inflationary effects of oil prices and the KRW. In our view, the durability of the hiking cycle will increasingly depend on whether the semiconductor-driven income gains spread to household consumption, wages and broader domestic prices.

Nomura's view: Hawkish direction, measured execution

We maintain our forecast for two more 25bp hikes

The statement was unambiguously hawkish on the direction of policy. Governor Shin also reiterated his view that growth is strengthening, inflation remains above target and the exchange rate, housing market and household debt all point toward further tightening.

However, the press conference was more cautious on the pace of rate hikes. Governor Shin did not actively guide the market toward an August hike and instead highlighted the importance of the next set of growth and inflation data.

In terms of incoming data, we expect moderating growth and inflation, which may support our view that the BOK will maintain a quarterly pace of 25bp hikes. We therefore continue to expect a gradual hiking cycle rather than consecutive increases. Our base case remains two additional 25bp hikes in October 2026 and January 2027, bringing the policy rate to 3.25%.

We assign a 25% probability to an August hike

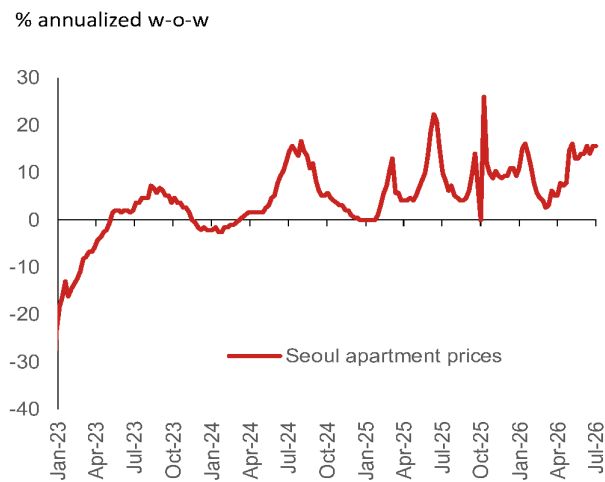
The risk is tilted towards an earlier move if Seoul housing prices rise further (Figure 1), July inflation surprises to the upside, which is against our expectations, (Figure 2) and the KRW weakens again.

Conversely, an easing of energy price-driven inflation would reduce the urgency for a back-to-back hike, but would unlikely end the broader tightening cycle, owing to the continued strength of growth and financial stability concerns.

Rates strategy: Maintain receive Sep-5y Korea vs. Taiwan with a conviction of 3/5

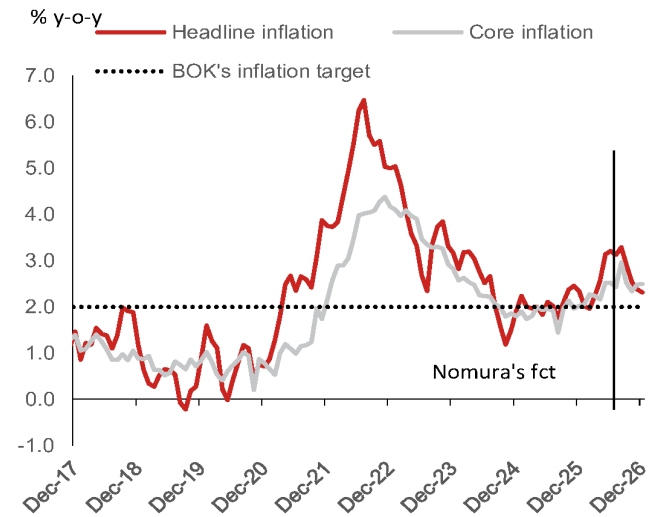
The BOK hiked its policy rate by 25bp without any dissenters and as widely expected. The policy statement reads slightly hawkish, as it mentions 2026 growth would considerably exceed May's forecast of 2.6%, inflation is set to remain elevated with core CPI inflation likely higher than May's forecast of 2.4% and financial stability risks persist. However, these are largely in line with market expectations into the meeting, and Governor Shin failed to provide any clear signals of a back-to-back hike in August. Currently, the market is pricing another three to four hikes over the next year, which compares with Nomura's forecast of two hikes (terminal rate 3.25%). With concerns on domestic demand lingering, and the labor market remaining soft in June, we maintain our recommendation of receive 5y swaps. For Taiwan, the recent pickup in headline and core CPI inflation and robust economic growth support rates continuing to move higher from here. That said, after the recent rebound in Taiwan rates, we only have a moderate conviction (3/5) in our receive Sep-5y Korea vs. Taiwan at this stage.

Fig. 1: Weekly apartment price trends



Source: Korea Real Estate Board, Nomura Global Economics

Fig. 2: Inflation forecasts



Source: CEIC, Nomura Global Economics

Appendix A-1

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